

EU Parliament Subcommittee on Tax Matters
Public hearing on "A Coherent Tax Framework for the
EU's Financial Sector" on 6 February 2025[☆]

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Abstract

Experts have been invited to present and discuss innovative solutions for the taxation of the EU's financial sector that help its further integration, facilitate cross-border operations and foster digitalization and innovation. The hearing will look at whether one of the already introduced financial transaction, financial activity or windfall taxes can serve as a best practice and at the challenges stemming from the current VAT exemption for financial services. In her mission letter to the Commissioner responsible for the taxation portfolio, Commissioner Wopke Hoekstra, the Commission President tasks him with identifying "innovative solutions for a coherent tax framework for the EU's financial sector that helps further integrate the EU's financial sector, facilitate cross-border operations, and foster digitalization and innovation". The FISC Subcommittee is working on an own-initiative report which will anticipate these measures and make recommendations to the Commission.

[☆]The views expressed here are personal. Madalina Patru provided efficient research assistance. I am grateful to Sonja Wüstemann for feedback and input.

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1. Introduction

Dear Mr. Tridico, dear members of the FISC subcommittee,

thank you very much for inviting me to reflect on a coherent tax framework of the EU’s financial system along two main themes: insights from enacted FTT and implications of exempting financial services from VAT.

2. The Financial Transaction Taxes (FTT)

2.1. Background and motives for the EU FTT

The burden imposed on tax payers due to pervasive bank bailouts during the Great Financial Crisis of 2008 underscores the need for a coherent tax system in the EU more than ever. In response, the European Banking Union took shape, including the central supervision of systemically important institutions and the inception of the Single Resolution Mechanism (SRM).

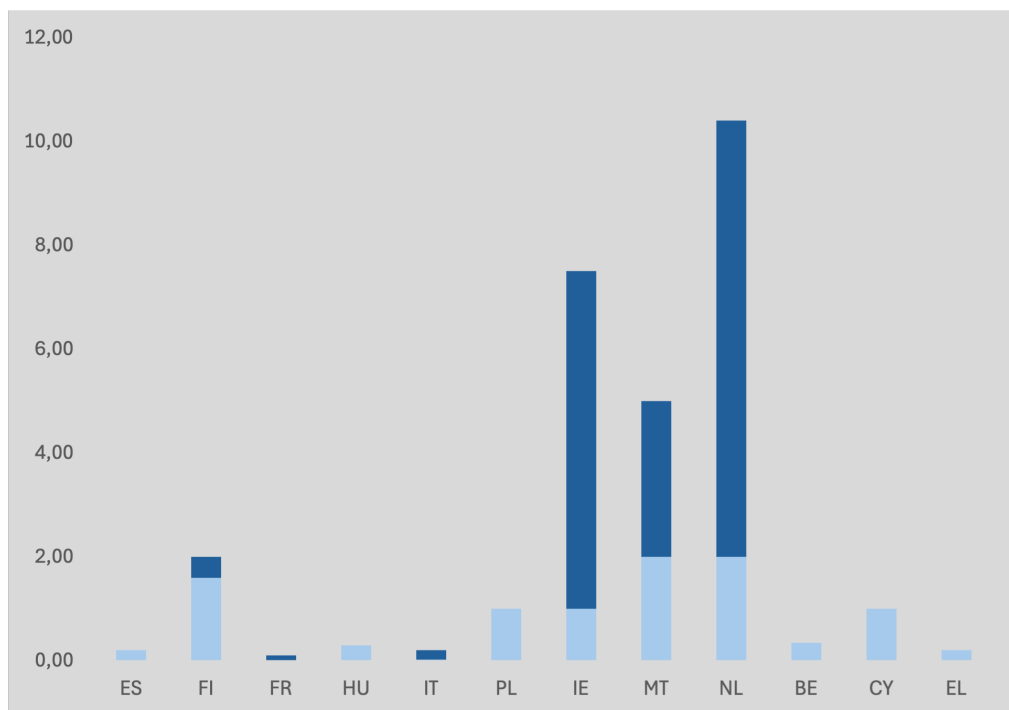
Besides bank levies to finance the SRF as an ex-ante insurance mechanisms, the [IMF \(2010\)](#) also proposed two tax instruments: a Financial Transaction Tax (FTT) and a Financial Activity Tax (FAT) to ensure a “fair” revenue contribution from the banking sector, tax rents, and/or may mitigate possibly existing undesirable behavior by agents in financial systems.

The current situation in the EU is such, that the 2011 Proposal by the European Commission (EC) did not convince the 27 member states, the 2013 Proposal by the EC under enhanced cooperation of ultimately 10 members stalled, and the latest Franco-German proposal from 2019 was significantly reduced in scope and exhibits lackluster implementation progress as well.

As a consequence, a number of national tax regimes came into effect since 2011. According to the [BMF \(2024\)](#), the variation across national regimes

is substantial, comprising Financial Transaction Taxes (FTT), Stamp (or Capital) Duties, and Security Transaction Taxes (STT) that range in terms of rates, tax base, the legal and /or natural entities taxed, and numerous additional aspects, see Figure 1.

Figure 1: **Capital transfer tax rates across the EU**



Notes: The figure shows tax rates obtained from Table 14 in [BMF \(2024\)](#), which also contains more information on the heterogenous tax bases and scope of taxation. Spain, Finland, France, Hungary, Italy, and Poland levy a Financial Transaction Tax (FTT), which is according to [CEPR \(2020\)](#) a tax on buying and selling a stock, bond, or other financial contract like options and derivatives (Klien 2020). Ireland, Malta, and the Netherlands levy (some form of) a Stamp Duty, which is a tax on a variety of legally recorded documents. Governments have placed stamp taxes on the transfer of homes, buildings, copyrights, land, patents, and securities (Kenton 2020). Belgium, Cyprus, and Greece impose a Securities Transaction Tax (STT), which is a tax levied at the time of purchase and sale of securities listed on stock exchanges (Sharma 2019).

2.2. How bad can fragmented tax regulation be?

Whereas regulatory flexibility is useful given national differences in legal and tax systems, excessive heterogeneity is undesirable from an economic viewpoint. It facilitates tax evasion by market participants, triggers tax competition by national governments, and violates the notion of a level-playing field within the Single Market. The literature on profit reallocation of multinational banks is informative in this regard. For example, [Fatica and Gregori \(2020\)](#) use the Country-by-Country Reporting enshrined in the CRD IV to identify profit shifting and corporate income tax minimization. They estimate that 27 European multinational banks shifted 21% of true earnings in 2014-2016 (see also [Overesch and Wolff, 2021](#)).

Implication: increasing the perimeter of participating countries in a EU FTT is much more important compared to the exact design of a FTT.

2.3. Lessons from existing FTT for market quality

That is, of course, not to say that the design of a FTT is irrelevant and academic studies assess FTT regimes introduced in France, Italy, and Spain exactly in this regard. France implemented a national FTT in 2012, levying a 0.2% tax on the acquisition of French publicly traded companies with a market capitalization exceeding €1 billion. In addition, high-frequency trading transactions were levied with a FTT rate of 0.01%, but derivatives are not subject to the FTT. Italy introduced its FTT in 2013, applying a 0.1% tax on equity transactions and varying rates on derivatives and high-frequency trading. Spain enacted an FTT in 2021, imposing a 0.2% tax on the purchase of shares of Spanish companies with a market capitalization above €1 billion

only. The major theoretical concern with regards to FTT is a deterioration of financial market quality along four dimensions:

1. Trading volume
2. Volatility
3. Price discovery and liquidity
4. Price levels and capital cost

A review of academic studies using rigorous econometric identification methods suggests that the French and Italian FTT did not exert economically meaningful, adverse effects on financial markets (see [Hemmelgarn et al., 2016](#); [Funke et al., 2020](#)). At the same time, the tax revenues raised by all three FTT regimes remained at times substantially behind expectations.

2.3.1. France

In France, trading volumes declined significantly, yet the contraction in liquidity remained small in economic terms and neither price levels nor volatility appear to have responded. Importantly, [Colliard and Hoffmann \(2017\)](#) caution that muted average responses may conceal important and substantial heterogeneity of individual market participants. They document on the basis of granular data a low impact of deteriorating market quality on long-term investors, but amplified negative effects of less market quality for less liquid stocks. Related, [Eichfelder et al. \(2022\)](#) show dominant short-run tax effects on trading activity, a reallocation of trading activity to high-liquidity stock in the longer run, and weak evidence for a persistent reduction of volatility. Importantly, they caution that intraday trading and the use of derivative contracts might lead to substantial tax-evasion.

2.3.2. Italy

The Italian FTT, which covers in addition to equities also derivatives, hardly affected trading volumes and price levels. However, volatility yields a significant hike paired with a reduction in liquidity (Funke et al., 2020). However, against the backdrop of low estimated magnitudes, the results suggest limited economic importance. More recently, Galvani and Ackman (2021) find that bid-ask spreads increased by 5-10% for mid-cap stocks but remained stable for large-cap stocks. Their results suggest that the tax disproportionately increased trading costs for small investors, whereas institutional traders were largely unaffected.

2.3.3. Spain

Finally, a few studies investigate the FTT introduced in Spain in 2021. Losada and Martinez (2023) use 2019-2021 stock market data and a reduced-form difference-in-differences model to document a significant decline in trading volumes. Bid-ask spreads exhibit no persistent effect in the medium or long term. In contrast, González-Fernández et al. (2024) compare taxed Spanish firms to untaxed German firms and find for that setting lower volatility and higher liquidity after a momentary reduction in volume.

Three main implications arise from analyzing the FR, IT, and ES FTT:

- *Average market quality deteriorates only moderately, supporting the design of a FTT as one instrument to harmonize existing tax regimes*
- *Aggregate results might conceal substantial heterogeneity in the composition of different market participants, which calls for a rigorous and*

ongoing impact assessment of any such policy based on granular data

- *Including derivatives into the tax-base of the Italian FTT did not spark the exodus of (institutional) investors. A comprehensive coverage of equities, derivatives, and fixed-income instruments is therefore desirable.*

3. Challenges due to the VAT-exemption of financial services

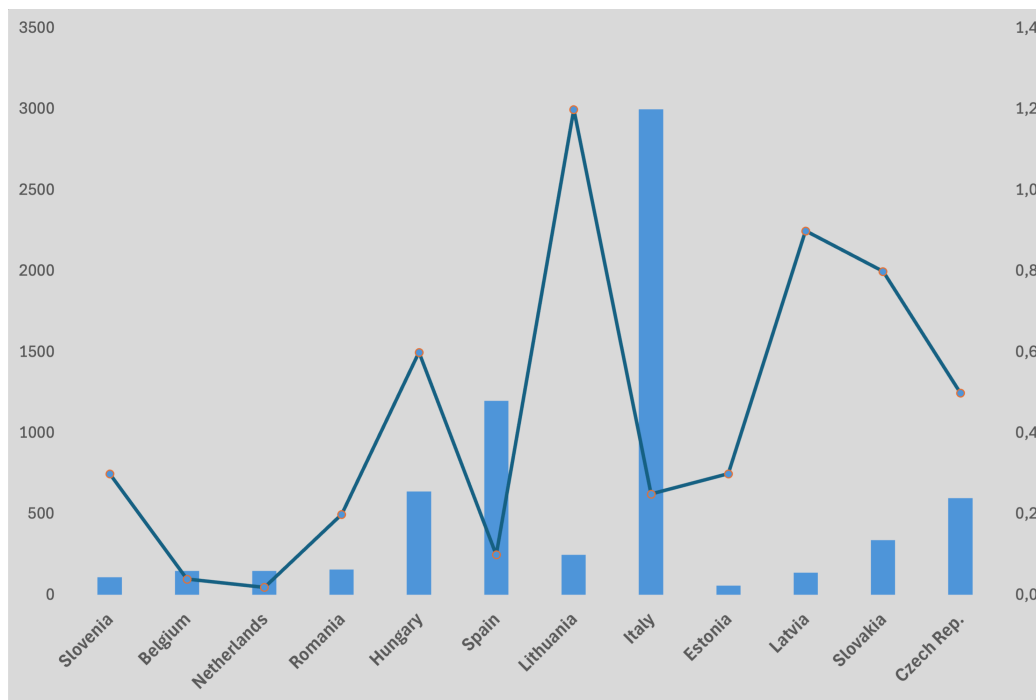
The exemption of financial services from the Value Added Tax (VAT) is mainly due to practical complexities in determining input prices of financial services in a model of financial intermediation, in which banks conduct maturity transformation and risk diversification (Buettner and Erbe, 2014a). Already Huizinga (2002) argued that technical progress and enhanced data availability should render it feasible to revoke the exemption. Yet, practical impediments in addition to disadvantages vis-a-vis international competitors seem to remain prohibitively high.

Fortunately, Buettner and Erbe (2014b) show theoretically and quantitatively equivalent revenue and welfare effects of revoking the Financial Sector VAT exemption and a modest FAT, which would be levied on the sum of profits and remuneration of financial institutions. Note that already the IMF (2010) proposed alternative specific definitions of which items to include in a tax base depending on the policy objectives of the policy.

Interestingly, many EU countries introduced taxes resembling a FAT in 2023. Figure 2 shows data compiled by Maneely and Ratnovski (2024) that highlight rather heterogeneous key features of these taxes across EU members. Durations range from 1 year to being permanent; the tax base comprises assets and liabilities as well as regular and “excess” profits or net interest

income, and in terms of risk-weighted assets, these taxes amount to 0.02% in The Netherlands up to 1.2% in Lithuania. Importantly, the IMF cautions that these taxes are often motivated by buoyant profits in EU banking since 2022. These are, however, most likely just delayed pass-through effects of rising policy rates and thus hardly sustainable in the long run.

Figure 2: **New bank taxes levied in EU countries since 2023**



Notes: The figure shows data obtained from [Maneely and Ratnovski \(2024\)](#). Bars denote on the left axis estimated tax revenue in millions of Euro. Tax rates expressed in percent of risk-weighted assets are depicted as a line graph on the right axis. The tax base in SI are bank assets, in BE and NL bank liabilities, in RO, HU, and ES (excess) net revenues, in LT and IT (excess) net interest income, and in EE, LV, SK, and CZ (excess) profits.

Two main implications arise from these observations:

- *Instead of revoking VAT, often accounting for a large share of national tax revenue, the harmonization of national bank taxes in a single FAT framework might be a more practical and coherent way forward*
- *Given that buoyant profitability in EU banking seems transitory, a FAT should be counter-cyclical, similar to macroprudential regulation*

4. Open issues

The debate on FTT and FAT centers to a large extent on banks. It is worthwhile to note that bank levies rather than taxes were used very successfully to build-up a resolution fund under the auspices of a new pan-European Authority, the SRF.

Yet, trading and lending activities in financial markets by shadow banks are growing in importance. Likewise, AI-trading in High-Frequency segments and new asset markets, such as crypto currencies, as well as large-scale retail equity investor mobilization via trading platform brokers, may pose new systemic risks to financial systems.

Therefore, the inception of insurance mechanisms in financial markets similar to the SRM that pertain also to non-banks seems key. Financial stability might necessitate the empowerment of existing institutions like ESMA or the creation of new ones that resemble the SRF. In this vein, a comprehensive FTT or FAT from non-bank agents may help to build up an emergency liquidity and resolution facility as part of crucial efforts to advance the EU Capital Markets Union (CMU).

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